Deans Cup Round 3
Schulich School of Business

Blanc Labs

Intelligent Lead Engagement – US Market Entry Strategy
Keepin’ It Case-ual

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Selecting the optimal strategy to scale AI engagement while managing regulatory and integration risk

QUESTION

How can Blanc Labs enter the US lending market in a way that maximizes growth while minimizing regulatory, integration, and reputational risk?

CHALLENGES

- Complex Regulatory Landscape
- Integration & IT Friction
- Long & Risky Sales Cycles

SOLUTION

The "Purchase-Led, Non-Bank Pilot" Strategy

Enter through purchase mortgage engagement pilots with mid-to-large non-bank lenders, using CRM-adjacent deployment and consent-first AI design to prove value before scaling

IMPACT

~$1.46T

Largest & Most Stable U.S. Mortgage Segment Targeted

3–9 Months

Faster Sales Cycles vs. 12–24 Months (Banks)

Reduced Risk

Compliance-first architecture & CRM-level integration

MARKET INTEGRATION LANDSCAPE

A tightly integrated ecosystem of core systems, LOS platforms, and third-party APIs powering secure, scalable mortgage automation

US Mortgage Market Overview

Scale & Recovery

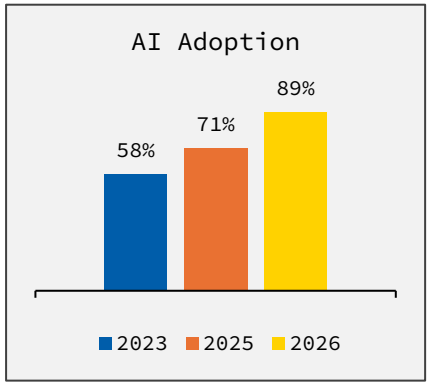
- **2023:** $1.5–$1.7T (rate-driven trough)
- **2025:** ~$2.0T recovery
- **2026:** ~$2.2T projected

Structural Shift

- **65.2% controlled by non-bank lenders**
- Increasingly tech-forward, volume-driven operators

AI Adoption Acceleration

- 58% (2022) → 71% (2023–24)
- **75–89% projected by 2025**
- AI use no longer differentiating — compliant execution is



Competitive & Regulatory Reality

High Competition & Margin Pressure

- **Fragmented lenders competing** for same borrowers
- Thin margins driving automation & efficiency focus
- Speed-to-contact and conversion increasingly decisive

Digital Expectations Rising

- Instant, omnichannel borrower engagement expected
- AI and **CRM-enabled workflows becoming standard**

Strict Regulatory Oversight

- **Federal + 50-state compliance complexity**
- Zero tolerance for consent breaches, bias, or audit gaps

Scale alone is not an advantage — success in the US market requires disciplined execution, seamless integration, and regulatory credibility

Competitive Structure & Strategic Implications (Porters 5 Forces)

Rivalry
Extremely High

- Fragmented lender ecosystem
- Fintech vendors embedding AI rapidly
- **Limited differentiation without deep integration**
- Margin compression intensifying competition

Buyer Power
High

- Structured RFP & compliance reviews
- Long procurement cycles (especially banks)
- **Customization and pricing pressure**

Supplier Power
Moderate

- LOS/POS platforms influence integration access
- **API permissions affect scalability**
- Multiple vendors prevent full monopolization

Threat of New Entrants
Moderate-High

- AI tools increasingly accessible
- **Lower technical barriers**
- Regulatory & domain expertise remain key friction points

Threat of Substitutes
Moderate

- **Manual loan officer outreach still common**
- In-house AI teams at large lenders
- CRM vendors adding AI layers

ALTERNATIVES AND THE RECOMMENDED MODEL

Evaluating US entry pathways to identify the most scalable, compliant, and execution-ready model

While multiple entry paths were viable, the **purchase-led non-bank pilot** model offers the best balance of **strategic impact**, **faster revenue realization**, **manageable regulatory risk**, and **long-term scalability**

Reverse Mortgage Differentiation

Enter through a niche, underserved reverse mortgage segment

PROS
- Differentiated positioning
- Smaller competitive set

CONS
- **High regulatory** scrutiny
- Senior borrower vulnerability concerns
- Reputational risk
- Limited scalability

Bank-First Enterprise Entry

Target large national banks immediately with full enterprise deployment

PROS
- Large contract sizes
- Strong brand credibility
- Long-term strategic partnerships

CONS
- 12-24 month sales cycles
- Heavy compliance & vendor approvals
- LOS **integration complexity**
- High reputational risk if pilot fails

Refinance-First Entry

Focus AI engagement on refinance borrowers

PROS
- Familiar workflows
- Historically high-volume during rate cycles
- Easier borrower messaging

CONS
- Highly cyclical demand
- Currently **lower volume** (~$737B vs $1.46T purchase)
- Revenue volatility risk

★ Purchase-Led, Non-Bank Pilot Model

Target mid-to-large non-bank lenders with purchase mortgage AI engagement pilots

PROS
- Largest and **most stable segment** (~$1.46T)
- 65.2% controlled by non-banks
- **Faster sales cycles** (3-9 months)
- CRM-level integration only
- Lower regulatory risk vs outbound voice

CONS
- Moderate compliance complexity
- Requires disciplined pilot execution

Decision Matrix to evaluate different alternatives

Criteria	Reverse Mortgage Differentiation	Bank-First Enterprise Entry	Refinance-First Entry	★ Purchase-Led, Non-Bank Pilot Model
Strategic Impact	3	4	4	5
Speed to Revenue	3	2	3	4
Regulatory Risk	2	2	3	4
Integration Complexity	3	2	3	4
Long-Term Scalability	2	4	3	4
Total	**13**	**14**	**15**	**21**

USE CASE & PLATFORM FIT

Defining the initial high-impact use case aligned to Blanc Labs' platform strengths and U.S. lender needs

Objective

How should Blanc Labs enter the US lending market in a way that **maximizes impact** while **minimizing** regulatory and integration **risk**?

01 Volume Stability & Revenue Reliability

- Refinance volumes are cyclical (~$737B vs ~$1.46T purchase)
- **Reverse mortgages are niche and limited scale**
- Revenue volatility increases strategic risk

🧠 Implication: Entry wedge must be large and stable.

02 Regulatory & Reputational Exposure

- TCPA requires consent-first outreach
- Reverse mortgages face higher scrutiny
- **Outbound voice increases compliance complexity**

🧠 Implication: Entry must minimize regulatory friction and reputational risk.

03 Integration & Execution Complexity

- **LOS replacement is high-risk and slow**
- Banks require 12-24 month sales cycles
- IT & compliance approvals create friction

🧠 Implication: Entry must avoid core system disruption.

🚀 Position for Growth

- Enter largest lending segment
- Capture early AI adoption momentum

⚙️ Execute with Discipline

- Pilot-first approach
- Measurable KPIs before scaling

🛡️ Strengthen Credibility

- Compliance-first architecture
- Lower integration disruption

A **purchase-led, non-bank pilot strategy** best **addresses volume stability, regulatory exposure, and integration complexity**, making it the most executable US entry path

Deploying AI engagement within U.S. lender systems without disrupting core infrastructure

Strategic Objective: Enable compliant AI-driven lead engagement while preserving existing lender systems and regulatory controls

01 CRM-Adjacent System Integration

- **Integrates with mortgage CRMs** (Salesforce FSC, Total Expert, Velocify)
- Handles lead intake, engagement, and scheduling
- **Operates pre-underwriting**, avoiding LOS replacement

Reduced integration and IT approval friction

Faster pilot deployment timelines

02 Compliance by Design Architecture

- Built-in consent capture and opt-out logic (TCPA-aligned)
- Audit logging and **interaction traceability**
- Human in the loop escalation for edge cases
- **AI disclosures embedded in workflows**

Lower regulatory and operational risk

03 Modular Deployment & Controlled Exposure

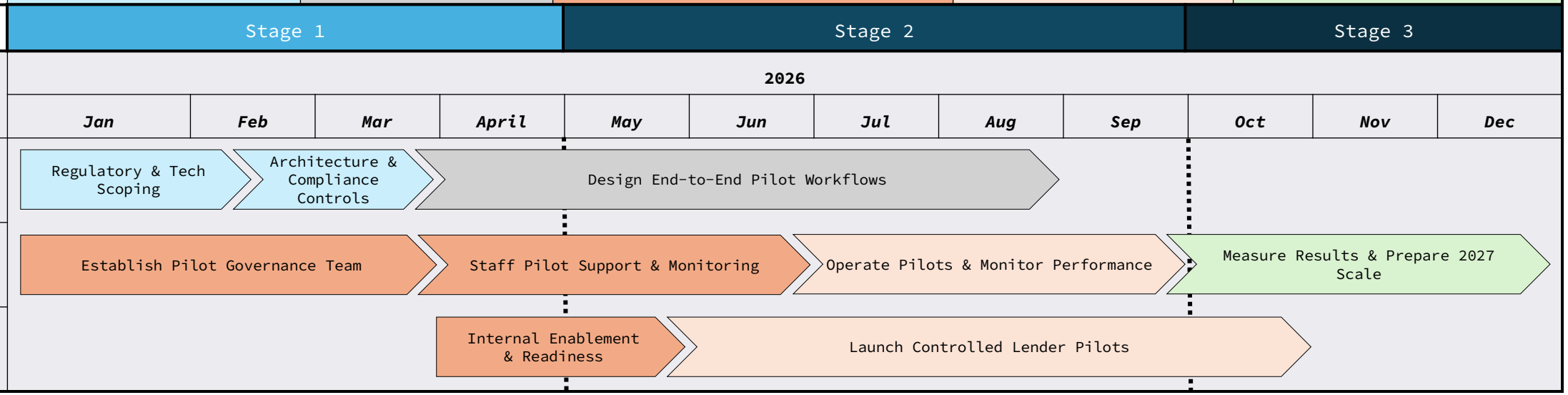
- CRM integration required for pilots
- LOS, POS, and MISMO integrations are optional post-proof
- **Channel expansion deferred** until compliance is validated

Scalable foundation for future expansion

IMPLEMENTATION PLAN

A phased roadmap designed to test, validate, and prepare Blanc Labs for U.S. market expansion

Task	Establish pilot governance & compliance foundation	Operationalize compliance and internal controls	Design compliant, CRM-adjacent engagement experiences	Launch pilots with non-bank lenders	Evaluate performance and prep scale
Actions	❑ Form U.S. compliance & **pilot team** ❑ Engage legal counsel (TCPA, CFPB, state laws) ❑ Define consent, opt-out, suppression rules ❑ Select 1-2 **non-bank pilot lenders**	❑ Finalize AI disclosure scripts ❑ Build **audit logging & reporting** ❑ Define human-in-the-loop escalation ❑ Internal compliance playbooks & training	❑ Design **2-3 core workflows (lead intake, qualification, scheduling)** ❑ CRM-only integrations (Salesforce / Total Expert / Velocify) ❑ Chat + SMS deployment (no AI voice yet) ❑ KPI framework (speed-to-contact, conversion)	❑ **Launch pilots with inbound, consented purchase leads** ❑ Monitor compliance + performance daily ❑ Dedicated pilot support & escalation ❑ Weekly lender check-ins	❑ Analyze pilot KPIs & compliance outcomes ❑ Refine workflows and scripts ❑ Decide expansion triggers (AI voice, more lenders) ❑ **Create scale-ready deployment toolkit**
Estimations	**$300K - $500K**	**$250K - $400K**	**$350K - $600K**	**$200K - $350K**	**~$400K - $600K**

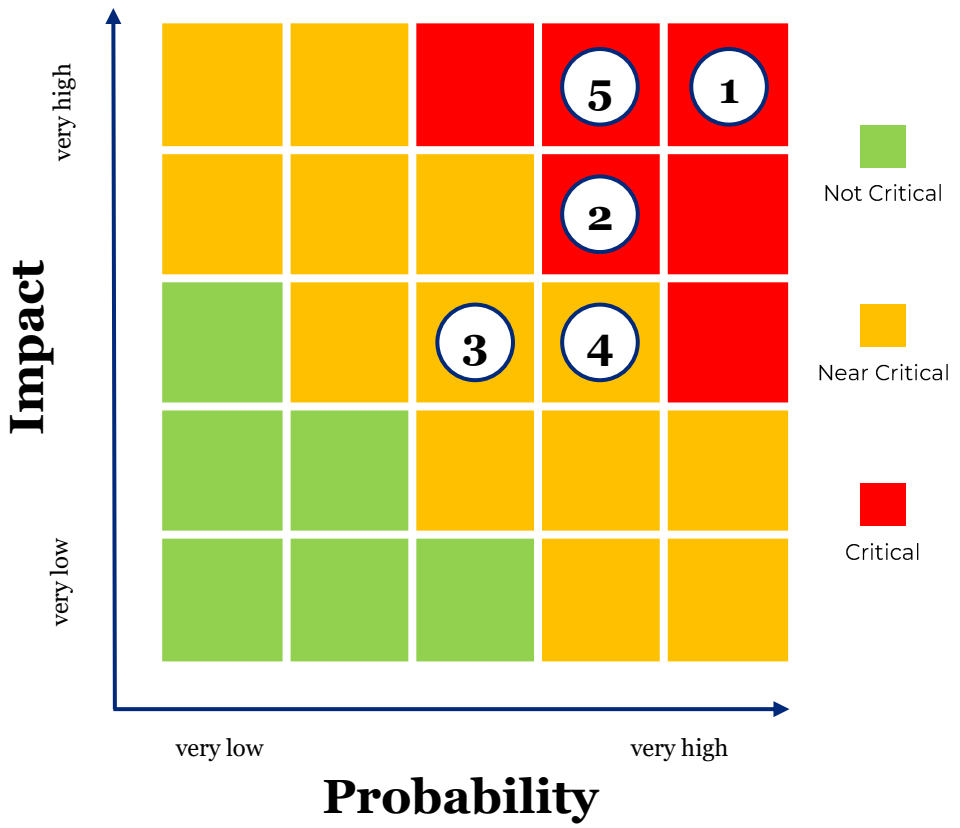


RISKS AND MITIGATION

Proactive risk management and phased mitigation strategies will protect Blanc Labs' US expansion from regulatory and execution disruption

US market entry is feasible when regulatory, reputational, and execution risks are mitigated upfront through compliance by design and phased deployment

	Risk Identified	Mitigation Strategy
1	**Regulatory Breach (TCPA/CFPB)** **Automated SMS/AI voice without consent** Risk of fines, legal action, forced shutdown	**Consent-First Design** Compliance-by-design **Express written consent**, opt-outs, audit logs
2	**Reputational Damage** **Consumer complaints about AI** outreach Negative press harms lender trust	**Controlled Pilots** Start with 1-2 non-bank lenders **Inbound leads only**, limited channels
3	**Integration Delays** **Complex lender tech stacks** (LOS, CRM, POS) Delays revenue & pilots	**CRM-First Integration** **Integrate CRM + lead intake** before LOS Faster time-to-value
4	**Long Sales Cycles (Banks)** **Slow procurement**, compliance reviews	**Non-Bank Focus (Phase 1)** **Target non-bank lenders first** Shorter sales cycles
5	**Data Privacy Breach** **Security incident**, loss of lender trust	**SOC 2 + Encryption** **Role-based access** Audit logs, encryption, security reviews



CONCLUSION

A disciplined, purchase-led pilot strategy positions Blanc Labs to enter the U.S. market with speed, credibility, and scalable impact

Issues

- Highly fragmented U.S. regulation (federal + 50 states)
- Zero tolerance for compliance or AI governance errors
- Margin pressure + need for faster borrower engagement

Problem

Lenders struggle to engage high-intent purchase borrowers quickly without increasing compliance or reputational risk

Solution

Compliance-first AI lead engagement focused on upstream purchase mortgage interactions, deployed through controlled pilots

Components

- **Clear Entry Wedge**
  Purchase mortgage lead engagement (non-bank lenders)
- **Compliance by Design Platform**
  TCPA consent, audit logs, human handoff, CRM adjacent deployment
- **Phased Execution Model**
  Pilot → expand → scale with proof gates

Impact

Credibility with lenders & regulators

Reduced adoption and reputational risk

Scalable U.S. growth path

Appendix-1

Regulatory Exposure & AI Risk Management

- Consent-first engagement model (no cold outbound AI calls)
- Full audit logging and opt-out management built into workflow
- Human escalation for complex or sensitive borrower interactions
- Bias monitoring and explainability safeguards aligned with CFPB and FTC guidance
- CRM-adjacent deployment to limit access to sensitive underwriting systems

Implication: Compliance is embedded into architecture — not layered on post-deployment

Appendix-2

Scalability Beyond the Initial Pilot

- Standardized CRM integrations reusable across lenders
- Modular AI deployment (chat → voice → lifecycle triggers)
- Reference-led expansion within non-bank segment
- Transition pathway to bank clients post compliance validation
- Scalable cloud-based infrastructure supporting multi-tenant deployment

Implication: The pilot model is designed for repeatability, not one-off customization.